company also became EVA-positive and surpassed the target fixed for the year 2007.

Ratan then advised the company leadership to ‘explore ways of enhancing its capacity domestically as also establishing finishing facilities in strategic locations internationally, leveraging its low cost Indian base and the availability of domestic iron ore’. He added: ‘The company needs to evaluate and invest in new emerging steel-making technologies, so as to enable it to be a state-of-the-art steel-making facility. Tata Steel is in the process of developing such longer-term strategies so that it can play a meaningful role in the steel industry in the coming years.’

By 2005, Ratan had achieved what he set out to when he took over as chairman—to make Tata Steel an efficient, modern and customer-oriented company. From the middle of the decade, his focus was on building on the gains. This entailed added focus in continuation with the other legs of his restructuring plan—overseas expansion and scaling production.

The Giant Leap

Eyeing scale, Tata Steel set out to establish three greenfield projects to enhance capacity. These plants, to be located in Orissa, Chhattisgarh and Jharkhand, were to have a total capacity of 23 million tonnes. Ratan said that these investments and other acquisitions would involve an ‘investment of Rs 70,000 crore in the next decade’. This, he declared, would be the ‘largest investment within the Tata Group’.

The transformative steps already taken had significantly improved the top- and bottom-line numbers of the company. For FY 2005–06, Tata Steel reported an operating profit of Rs 5931.51 crore and an NPAT of Rs 3506.38 crore. The company also reported a five-year net profit compound annual growth rate (CAGR) of 44.66 per cent (2001–06).

The year 2007, the centenary year of the steel giant, was a memorable one in the company’s history. It was when Tata Steel made the largest acquisition ever made by an Indian company—that of the giant European steel company, Corus. Tata Steel’s turnover quintupled in one year as a result. It also became the sixth-largest steel company in the world. Speaking on the occasion of the centenary celebrations, Ratan heaped encomiums on the company for being ‘recognised as one of the lowest cost and most cost-